



Over the past five years, with digitisation accelerating post-demonetisation and Covid, equity investing has gained tremendous traction. However, investors enter markets in different ways—some via mutual funds, others through direct stock picking or F&O (futures and options) trading.

If we analyse the correction, Nifty and Nifty 500 have declined by 15-18%, mid-, and small-cap indices by 20-25%, and mutual funds by 15-20%. However, individual stock portfolios have seen significantly higher declines, often double that of mutual fund NAVs (net asset values).

reap the benefits over time. Our approach has been measured. Since mid-2023, we have advised investors to stagger their investments, rather than deploying aggressively. Even now, we recommend a three-month staggered approach.

Additionally, we encourage a mix of asset classes—equity, debt, and gold—rather than going all-in on equities. Hybrid funds, like balanced advantage funds, help investors navigate volatility. Another key message is avoiding excessive averaging in stocks that have already delivered high returns in past cycles, such as PSU, defence,

The previous bull market saw cyclical, policy-driven sectors—PSUs, defence, railways, and infrastructure—outperforming. Conversely, financials, private sector banks, NBFCs, IT, healthcare, and chemicals underperformed.

During this downturn, the overperforming sectors have seen the sharpest corrections (30-40%), while financials, for instance, have fallen much less (single digits). If markets recover, these resilient private sector banks, NBFCs, capital market entities, IT, and healthcare—are likely to lead the recovery. We have increased allocations in these areas.

AVOID EXCESSIVE AVERAGING IN STOCKS THAT HAVE ALREADY DELIVERED HIGH RETURNS IN PAST CYCLES

The reason? Direct investors tend to buy into trending stocks—PSUs, railways, defence, and infrastructure without proper portfolio construction principles. Investing is not just stock picking; it requires constructing a portfolio that can weather market cycles. Investors should recognise this distinction.



How have you been deploying fresh inflows for mutual fund investors? Is there a different approach for PMS (portfolio management services) and AIF (alternative investment fund) investors?

Intelligence in markets is relative—often, those who stay invested

and infrastructure. History shows that sectors that overperform in one cycle often underperform in the next.

Micro analysing FII outflows is also counterproductive. Markets correct 15-20% regularly, but they also hit new highs every few years. India has been an outperformer compared to other emerging markets. Investors should remain disciplined rather than reacting to short-term global market movements.



Given the correction, which sectors have been resilient, and where have you allocated fresh funds?



There is a consensus that large caps will outperform mid and small caps over the next six-eight months due to valuation concerns. In your preferred sectors, are you focusing on large caps, or are you looking for growth across market caps?

In our flexi-cap and multi-cap funds, the allocation follows a descending order: large-cap first (60-65%), followed by small-cap (25%), and then mid-cap (10-15%).

While financials, IT, and healthcare lean toward large caps, certain segments like white goods, discretionary consumption, and manufacturing provide opportunities in the small- and mid-cap space. Despite volatility, small caps remain a fertile ground for stock picking and alpha generation, given their heterogeneity and institutional underrepresentation. **BT**

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